#10 · 3.4% of marks

Ch 1 — Financial Policy & Corporate Strategy

Pure theory + one numerical (SGR / EFR). SM TYK theory Qs: **interface of financial policy and strategic management** (para 5) · **balancing financial goals vis-à-vis sustainable growth** (para 6).

① Advanced role of the CFO incl. value creation (SM 1)

*Traditional: shareholder **wealth maximisation**, financial health, financial controls; governance, compliance, ethics. Now (globalisation, information growth, pandemic) also **strategic & operational decision-making**. Post-pandemic areas:*

- → ***(a) Risk management** — oversee the whole risk-management framework*
- → ***(b) Supply chain** — financial viability of SCM for sustainable growth*
- → ***(c) M&A and corporate restructuring** — strategic; an error can collapse the business*
- → ***(d) ESG financing** — shift from traditional to **sustainability financing***
- → *CFOs now lead **value creation**, on a sustainable basis over the long term.*

② Strategic financial decision-making framework (SM 2)

- → *Capital investment = **springboard for wealth creation**; capital is the limiting factor → strategic allocation of limited funds*
- → *3 essentials: clear, realistic **strategy** · financial resources, controls & systems (**finance**) · right **management** team & processes → **Strategy + Finance + Management = Fundamentals of Business***
- → ***Strategy** = long-term direction and scope to achieve competitive advantage through configuration of resources in a changing environment, fulfilling stakeholders' aspirations. Investors care about profit **and its likelihood** — risk-return trade-off*
- → ***Strategic financial management** = application of FM techniques to strategic decisions to achieve the decision-maker's objectives; combines **backward-looking** accounting with **forward-looking** FM; identifies strategies that **maximise market value**; allocates scarce capital; implements and monitors*

Functions (SM 2.2) — 5

Continual search for best opportunities · selection of best profitable ones · optimal mix of funds · systems of internal control · analysis of results for future decisions. Strategy = long term (senior mgmt) · tactics = intermediate (middle) · operations = short term (line).

Key decisions — 4

***Financing** (equity–debt mix) · **Investment** (long-term projects, risk vs return) · **Dividend** (payout vs reinvestment) · **Portfolio** (judge each investment by its contribution to the **aggregate** performance of the corporation, not in isolation)*

③ Strategy at different hierarchy levels (SM 3)

Level	SM
Corporate	Which businesses to compete in; develop & coordinate the portfolio. Answers 3 questions: **Suitability** (will it achieve the common objective) · **Feasibility** (kind and number of resources needed) · **Acceptability** (stakeholders' satisfaction — financial and non-financial)
Business unit (SBU)	Any profit centre planned independently; coordination of operating units; building & sustaining **competitive advantage**
Functional	Departments — R&D, operations, marketing, finance, HR; business processes & value chain; give input upward, then translate higher strategy into action plans

Finance has the highest importance in top-down / bottom-up planning: corporate strategy = **deployment** of resources; financial strategy = **mobilisation and effective use of money** — the most critical resource; others can be mobilised with an adequate monetary base.

④ Financial planning (SM 4)

→ Backbone of business & corporate planning; defines the feasible area of operation. **Financial Planning = Financial Resources + Financial Tools + Financial Goals**

→ Outcomes: **financial objectives** (set first, consistent with mission) · **financial decision-making** · **financial measures** to evaluate performance (ratios, cash-flow analysis)

⑤ Interface of financial policy & strategic management (SM 5) — TYK Q1

Starting point and end point of an organisation is money. No business can run or expand without an internally and / or externally mobilised financial base.

1. **Sources of finance & capital structure** — the most important dimensions of a strategic plan. Ownership capital (equity, preference), borrowed (debentures), public deposits (short / medium term; may pay more than banks), overdraft, cash credit, bill discounting, bank loans, trade credit. D/E norms: **1 : 1 public sector**, **2 : 1 private sector**; higher for capital-intensive, high-cost priority-sector and backward-region projects
2. **Investment & fund allocation** — policies for fixed and current assets. Proposals of 3 types: **new product** · **more capacity** for an existing product · **cost reduction** / efficiency. Compare within group by capital budgeting; **project evaluation & selection** are the key jobs; best allocation under resource constraints
3. **Dividend policy** — payout vs retention; dividend = earnings that cannot be profitably used. Stable dividend → positive price impact; constant % of earnings → flexibility, signals lower risk; minimum DPS + extra in good years; weigh investment needs, shareholder preference, cash vs stock dividend

Financial policy can't be framed in isolation — investors constantly evaluate it; frame it **during corporate planning**, not later. Interdependence: sometimes **strategy is the cause and financial policy the effect**, sometimes the reverse.

⑥ Balancing financial goals vs sustainable growth (SM 6) — TYK Q2

- → Forces managers to consider the financial consequences of sales increases; set growth goals consistent with operating & financial policies — conflict if they aren't
- → Right distribution of resources for **current and future** stakeholders: **"save fuel" campaign** = demarketing, a **stable growth strategy** of the oil industry under resource constraints. Variants: **incremental growth, profit, pause** strategies
- → Growth **too fast or too slow** both hurt — keep actual growth close to the sustainable growth ratio

Financially sustainable — 7 (CIVICUS)

More than one **source** of income · more than one **way** of generating income · regular strategic, action & financial planning · adequate financial systems · good public image · value clarity · **financial autonomy**

Sustainable organisation — 6 (CIVICUS)

Clear strategic direction · scan environment for opportunities · attract, manage, retain competent staff · adequate admin & financial infrastructure · demonstrate effectiveness & impact to leverage resources · community support & involvement

⑦ Sustainable growth rate (SM 6.1)

SGR (Robert C. Higgins) = maximum growth in sales achievable given profitability, asset utilisation, desired payout and debt ratios — how fast a firm can grow **without borrowing more** (beyond it, external funds). **SGR = ROE × (1 − dividend payout ratio)**. Variables: net margin, asset turnover, assets-to-equity, retention rate.

- → **Assumes** the firm wants to: (1) keep a target capital structure **without issuing new equity** (2) keep a target payout (3) grow sales as fast as the market allows. If willing to issue equity → no financial constraint on growth
- → Twin cornerstones: **growth strategy** and **growth capability** — neglect either and long-term growth fails
- → Sustainability: **very weak** — total stock of capital assets constant · **weak** — preserve critical resources · **strong** — preserve resources under primacy of **ecosystem** functioning
- → Useful when a borrower seeks more loans → too much debt: raise equity or slow growth to the sustainable level
- → **Mature firms** (actual < SGR): use surplus cash — higher dividends, buybacks, repay debt, hold liquid assets (each **lowers** SGR) — or **acquire** fast-growing companies
- → Growth from **volume and inflation**; inflationary asset growth must be financed like real growth → more external finance, higher historical-cost D/E → if creditors fix D/E, **inflation lowers SGR**
- → **Mitsubishi Corporation**: dropped fixed 3-year midterm plans for a ~2020 growth vision — "future pull" to double the business, clear portfolio strategy (proactive reshaping), growth with financial discipline

NUMERICAL

⑧ External Funding Requirement (SM 6.2)

To grow, both current and non-current assets must rise; with constraints on D/E or current ratio, find how much external funding is needed and of what type. ***Analytical approach****: project each balance-sheet item against sales under the conditions.*

Formula approach*:*

$EFR = (TA \div S) \times \Delta S - (\text{spontaneous payables \& liabilities} \div S) \times \Delta S - m \times S_1 \times (1 - d)$

m = net profit margin · S_1 = revised sales · d = payout. Then split between short-term, long-term debt and equity using the given conditions.

SM Illustration — Sundry Ltd (₹ lakh)	Working
TA 14,000; payables 2,000; sales 6,000 +20%; margin 4%; payout 50%	Retained = 7,200 × 4% × 50% = **144**; extra assets = (14,000 − 2,000) × 20% = 2,400 → **EFR = 2,256**
Sales : (ST loan + payables) = 4 : 3	New = ¾ × 7,200 = 5,400; existing 2,400 + 3,000 = 5,400 → **short-term nil**
FA : LT loan = 1.5	7,200 ÷ 1.5 = 4,800 − 4,000 → **long-term 800**
Balance from equity	2,256 − 0 − 800 = **1,456**; check D/E = 4,800 ÷ (3,000 + 1,456 + 2,000 + 144) = **0.727** ≤ 1.5 ✓

⚠ TRAP

Deduct only ***spontaneous*** *liabilities (payables & provisions) — not loans. Retained earnings use* ***revised*** *sales. Always verify the stated D/E or ratio condition at the end.*

⑨ Correlation — how Ch 1 actually connects

Ch 1 idea	The actual link (app-written cross-reference; the Ch 1 side is SM)
SGR = ROE × (1 − payout)	**Ch 5**: the same g = b × r drives Gordon's model $P = D_1 \div (K_e - g)$ and Gordon's earnings model $EPS_1(1 - b) \div (K_e - br)$. If $r > K_e$, retaining more raises both growth and value.
Mature firm's surplus cash	**Ch 14**: buybacks raise EPS / ROE (SM 9.4 effects) and lower SGR; acquiring fast-growing firms raises actual growth.
Portfolio decisions	**Ch 6**: judge an investment by its contribution to total risk-return, not alone — the Markowitz idea applied to a corporation's projects.
Investment decisions under risk	**Ch 3**: NPV, sensitivity, real options; capital rationing = "allocation of limited funds".
CFO roles: risk, ESG	**Ch 2**: the risk framework the CFO now owns — strategic, compliance, operational, financial risk; VaR limits for treasury dealers.
Inflation lowers SGR	**Ch 5 / Ch 3**: nominal vs real — inflated asset values need real financing even with no real growth.